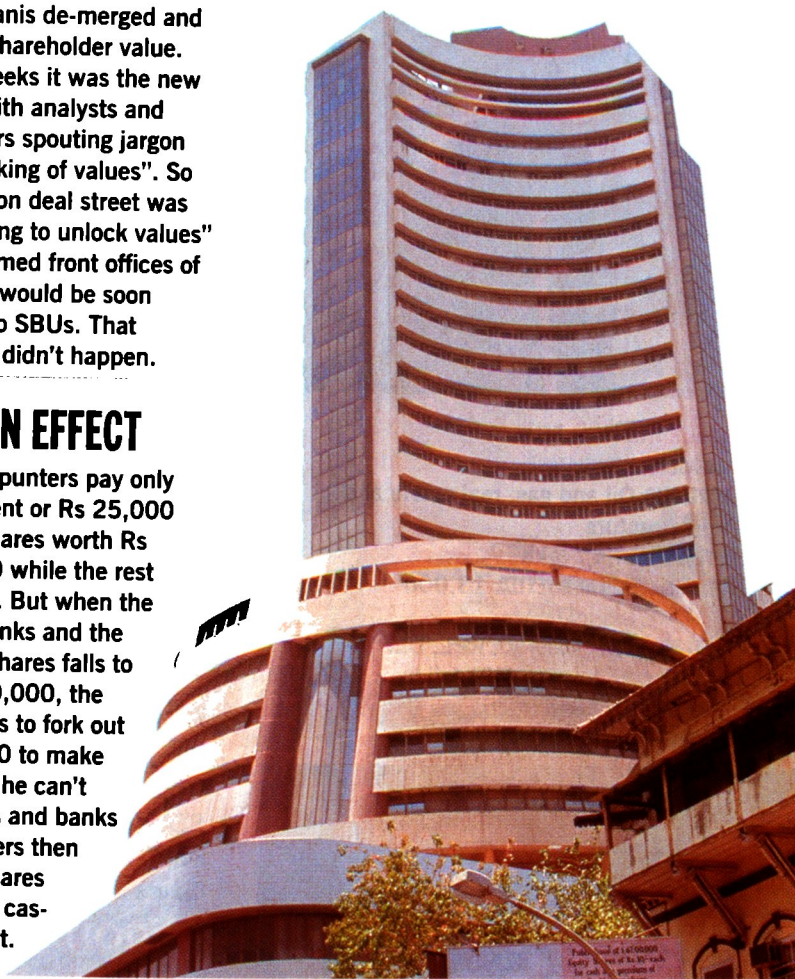


NEW VALUES

The Ambanis de-merged and doubled shareholder value. Within weeks it was the new mantra with analysts and speculators spouting jargon on "unlocking of values". So everyone on deal street was "de-merging to unlock values" and it seemed front offices of corporate would be soon turned into SBUs. That mercifully didn't happen.

MARGIN EFFECT

Typically punters pay only 25 per cent or Rs 25,000 say for shares worth Rs 1,00,000 while the rest is funded. But when the market tanks and the value of shares falls to say Rs 90,000, the punter has to fork out Rs 10,000 to make up. Often he can't afford this and banks or financiers then sell the shares creating a cascade effect.



TOP 20

Tech Mahindra	-64.53
I-Flex Solution	-63.34
Patni Computer	-62.64
Essar Oil	-59.58
Reliance Natural	-53.72
Reliance Petrol	-50.27
BF Utilities	-45.44
MTNL	-45.30
IOC	-45.07
ACC	-45.05
Ashok Leyland	-43.96
IDBI	-43.73
Infosys	-43.52
Hind Zync	-43.39
TCS	-42.87
GMR Infra	-41.37
HPCL	-40.58
India Cements	-39.77
Power Finance	-39.74
Mahindra & Mahindra	-39.01

Figures in %age loss from 52-week highs; source: BSE

had to correct. Also at play were vested interests who wanted the markets to stay high as some high-profile IPOs were coming. Mid-caps, too, rallied way ahead of their fair valuations due to operator interest. This had to stop."

Simply, the market at 20,000-plus was waiting for a trigger. It came in the form of new losses in the US subprime crisis and aggravated worries about the American economy. The Indian market had arrogantly ignored global realities, rising even as global markets slid. When giants such as Citigroup began writing down billions of dollars, global markets plunged and Indian stocks shivered. FIIs pulled out over Rs 10,500 crore in less than 10 days. Public offerings sucked over Rs 1,00,000 crore out of the market; the outstanding or bought positions in the highly-leveraged F&O market totalled Rs 1,30,000 crore, which is the highest ever, and brokers' books were holding excessively leveraged positions in scrips. Add a valuation race and markets ramped up by promoters who now don't push just one company but use sectoral and Sensex stocks to push new

"Infrastructure is key. It can lead to 9% growth, creating jobs and spurring consumption."

ASHITH KAMPANI, MD, JM FINANCIAL CONSULTANT

issues. As the market crashed high networth individuals (HNIs) approached SEBI for early allotment so that money locked in public issues could be freed and investors caught in the downturn were scrambling to withdraw applications either because of fear or to fork out money to their brokers.

What needs to be recognised here is that those who stay off Greed Street may be singed, but will find their investments safe in the long term—if the call is on fundamentals and not propped by tips. The market is far more complex in structure—from instruments of investment to tools of speculation and methods of financing (see Sense and Sensex). Every new tool is open to use and abuse.

For instance, brokerages were encouraged to raise resources by going public. But to get

